*letting the naive, uninformed public dictate investment policy.* Truly, the inmates are running the asylum. Even doctors who know better have abdicated their responsibility and are following the impulsive dictates of their patients.

The hooks are exquisitely set to catch schools of fish. The only question is when the market will reel in its catch.

## IMPLICATIONS

As EWT speculated at the end of 1986, "It is hard to believe that after so many years of bull market, *The Elliott Wave Theorist* is still far more bullish than the majority, *a situation that will eventually reverse.*" Well, here in 1995, that situation *is* completely reversed. *The Elliott Wave Theorist* is incalculably more bearish than the majority, which is optimistic to an extent unprecedented in U.S. history. Clearly, this is a situation that fulfills the expectation (quoted near the outset of this chapter) that at the top, "Investor mass psychology should reach manic proportion, with elements of 1929, 1968 and 1973 all operating together and, at the end, to an even greater extreme." In terms of dividend valuation, the market is *more* overpriced than in 1929; in terms of public participation, the mutual fund and OTC manias are *bigger* than those of 1968; in terms of REIT, new issue and blue chip overvaluation, today's buying frenzy *overshadows* that of 1973. Contrast today's mood with the gloom of 1978-1982, as described at the outset of this chapter. Can you see the difference? Is it clear why *The Elliott Wave Theorist* was bullish then and bearish now as a result?

Extreme optimism has actually been manifest several times in the past eight years, including August-September 1987, August-September 1989, July 1990, mid-1991, January 1994 and now. What is particularly remarkable about the high optimism today is that it is so powerfully entrenched despite the fact that the actual performance of stocks and bonds since 1987 has been substantially less impressive than it was from 1982 to 1987, and in the past year and a half, these markets together have produced no net gain at all. In other words, the *disparity* between actual performance and expectations is being stretched to the breaking point. The psychology of the public, which was ripe for an upside surprise thirteen years ago, is now ripe for disappointment.

Market justice is the payback that the dependent person (discussed in Chapter 1) receives for abandoning his independent judgment to the emotions of the crowd. In early 1983, *The Elliott*